To: Airlangga Hartato, Minister of Economic Development
From: Jhanavi Sankar, Economic and Social Policy Officer
Subject: Economic Policies for Inclusive Growth in Indonesia
Date: 6 December 2024

Abstract:
This memo examines Indonesia's progress and challenges in achieving inclusive growth by drawing on insights from *The Politics of Inclusive Development*. More than one-third of Indonesians are economically insecure, where a minor shock can push them into poverty. Shocks such as a pandemic and climate change are expected to trap poor households in poverty and push economically insecure households back into it. To address these challenges, two recommendations are outlined in the memo:

1) Establishing a shock-responsive social protection fund
2) Green Jobs Initiative

These policies align with the principles of inclusive development that focus on employment generation and broad-based economic participation.

Analytical Summary of the Politics of Inclusive Development
The Politics of Inclusive Development by Judith Teichmann examines the policies and politics through which inclusive development is realized, using a comparative analysis of four countries: Mexico, South Korea, Chile, and Indonesia. Inclusive growth is framed as ensuring physical security, reducing poverty, and removing barriers to societal participation.[i]

<u>Defining Inclusive Development:</u>
Teichmann highlights three critical challenges in achieving inclusive development:

- Structural Inequalities: Marginalized groups face systemic barriers to education, healthcare, and employment, perpetuating intergenerational poverty.
- Political Commitment and State Capacity: Elite-driven social policies and unequal growth hinder redistribution efforts, underscoring the critical role of state capacity in addressing inequalities.[ii]
- Implementation barriers: Social institutions that are exclusionary, high levels of corruption, lack of coalition among different classes, and entrenched forms of exclusion stemming from historical challenges such as colonialism impede the formulation of inclusive policies.[iii]

<u>The Role of State Capacity:</u>
Teichmann argues that state capacity and committed leadership are fundamental to recognizing affirmative and redistributive action. However, the Global South is plagued by weak states with inefficient bureaucracies that hinder the delivery of high-quality socio-economic policies. The state's role is crucial in creating employment-generating growth, which provides marginalized

groups a reliable pathway out of poverty. Progressive taxation and state-led redistribution are critical tools in funding social spending.[iv]

Building Coalitions for Inclusivity:

As evidenced from Teichmann's case studies of the four countries, the political success of social policies hinges on the support from a broad-based coalition in society, particularly the middle class. Teichmann uses South Korea's rapid industrialization as a case study, where job creation expanded the middle class and fostered macroeconomic stability. However, political divisions and clientelism in post-colonial states have frequently undermined such coalitions, as seen in Indonesia and Chile. Challenges to building a strong coalition are in large part due to deep political divisions and fragmented politics caused by decades of colonial rule.[v]

Centralization vs. Decentralization:

Teichmann argues that centralized decision-making at the national level is more effective in achieving inclusivity, contrasting with the view that decentralization promotes local participation.[vi] For instance, in the Indonesian case, a decentralized political framework has limited the effectiveness of cohesive national policies that target inclusive growth. Conversely, South Korea's centralized model facilitated uniform development goals and reduced elite interference.

Addressing Rural and Agricultural Inequities:

When discussing decent livelihoods, it is equally important to focus on rural livelihoods and welfare, as developing countries in the Global South have a majority of their workforce in agriculture. Neglect of rural livelihoods during crises like the 1980s debt crisis resulted in poor human development outcomes. Land redistribution and rural infrastructure are key to improving literacy, life expectancy, and reducing infant mortality. Teichmann critiques microfinance initiatives for failing to address structural poverty and calls for complementary policies such as market access and employment-focused programs. The same can be said for conditional cash transfers, which is a useful instrument to poverty reduction in the short term. [vii] However, in the long term, for communities to move out of poverty, it must be complemented with enhanced access to education and employment opportunities.

The Impact of Globalization:

Geopolitical and economic factors shape opportunities and barriers for inclusive growth. Mexico's proximity to the U.S. enabled industrial integration but limited job creation due to capital-intensive practices. Today, Global South countries face trade restrictions and high costs of advanced technologies, posing additional challenges.[viii]

Long-Term Approaches to Inclusivity:
While Teichmann says that rapid inclusive growth may not be feasible in today's world, deliberate policies, contextual approaches, and state-supported growth can ensure gradual progress.
In conclusion, the book emphasises the interplay between economic growth, state-driven redistributive measures, and a broad-based coalition necessary for inclusive growth. Teichmann calls for long-term context-specific approaches that align with socio-economic goals, which serves as a useful framework for policymakers to build inclusive economies.

Indonesia's Economic Policies and Impact on Poverty and Inequality
Indonesia has sustained rapid economic growth and poverty reduction over the past five decades, emerging as an upper-middle-income country by 2019. Extreme poverty, measured at $1.90 per day, fell dramatically from 69% in 1984 to 2% in 2021.[ix] The commodity boom (until 2013) significantly contributed to this growth, as rising demand from neighboring countries like India and China boosted prices for Indonesia's exports, including palm oil, crude oil, and coal. This trade boom created jobs, attracted investments, and expanded the service sector, which grew from 36% to 46% between 2000 and 2019.[x]

The structure of the Indonesian economy has changed considerably from a heavily agricultural sector to processes of urbanization and industrialization, causing a shift toward the manufacturing and service sectors. After the decline in oil prices in the late 1980s, the government diversified exports through trade liberalization and industrialization, enhancing global integration. From the 1960s to the 1970s, Indonesia experienced an average annual investment growth of 12%, and similar trends are expected as infrastructure development accelerates under public-private partnerships.[xi] However, inadequate infrastructure, particularly in transport, remains a barrier to foreign investment.

Economic Policies Before and After the Asian Financial Crisis:
Pre-Crisis (Sukarno and Suharto Eras):
During the early years of Indonesia's independence, economic mismanagement under the first president Sukarno, led to financial chaos. Economic direction radically changed under, Suharto which included greater efforts at tax collection, the passage of foreign investment laws to attract private investment, and strengthening agricultural infrastructure, notably in transportation, irrigation, and communications.[xii] Suharto's policies, including subsidies for fertilizers and pesticides, benefited small farmers, though development projects were concentrated in Java and Sumatra, deepening regional inequalities in the lagging regions.

Post-Crisis Recovery:
The Asian Financial Crisis of the late 1990s devastated Indonesia's economy, prompting shifts toward poverty eradication programs and social assistance initiatives. Structural reforms and

fiscal adjustments helped Indonesia stabilize and rebuild, but challenges such as infrastructure deficiencies and regional inequalities persisted.

Social Assistance and Subsidy Programs:

The Indonesian government has implemented poverty eradication programmes that fall into two categories of social assistance and subsidies. The social assistance program is intended to provide households with direct economic assistance in the form of cash. Subsidies are designed to help households improve their purchasing power. [xiii] The government transfers subsidy funds to the producers to reduce their production costs. However, this program is considered inadequate in terms of targeting, as any household can purchase subsidized goods regardless of their income level.

Program Keluarga Harapan (PKH) was the first conditional cash transfer program, providing cash to households that meet certain criteria. From 2007-2016, these conditionalities included pregnant/lactating mothers, children below six years old, children at elementary and high school, and disabled and elderly people. PKH increased from 0.4 to 10 million households in 2018, and its budget allocation rose from IDR 0.5 million to 19.2 trillion in 2018. Although there are criticisms regarding the insufficient amount received by households, PKH is considered the most effective program in reducing poverty.

Energy subsidy also complements the social expenditure program and aims to increase households' purchasing power. These subsidies were the largest component of government spending between 2009 and 2014. However, reforms in 2015 reduced coverage, highlighting inefficiencies in targeting the poorest households (36.8% coverage compared to PKH's 72.6%).[xiv]

Regional Inequalities and Challenges:

Development imbalances remain stark. Historically marginalized regions like Maluku-Papua and Nusa Tenggara have made progress, reducing poverty from 80% to approximately 26–27% between 2002 and 2022. However, extreme poverty in these regions has risen from 12% to 22%, underscoring persistent structural challenges.[xv]

Contemporary Challenges:

1) High levels of economic insecurity: More than 40% of households are economically insecure, where a minor shock can push them back into poverty.[xvi] This reduces their short-term and long-term productivity. A **shock-responsive social protection fund** could provide an adaptive safety net, mitigating risks for these households and ensuring continuity in poverty reduction efforts.
2) Scarcity of high-skilled jobs: The scarcity of high-skilled jobs hinders upward mobility and limits long-term productivity.[xvii] A **green jobs initiative** offers a pathway to address this issue by creating sustainable employment opportunities.

3) Shock Challenges: Shocks such as the COVID-19 pandemic and climate-related disasters threaten poverty reduction progress. Even though the government scaled up social assistance programs during the pandemic, fewer than 40% of the bottom 40% of the population received benefits. 70% of the total disasters recorded between 1990 and 2021 were climate-related.[xviii] A **shock-responsive social protection fund** can cushion these households from the immediate impacts of climate-related disasters.

Recommendations:

The following recommendations outline targeted strategies designed to address key challenges Indonesia faces in poverty and inequality reduction:

1) Green Jobs Initiative for Poverty Reduction:
   This strategy recommends investments in renewable energy projects to create green jobs, particularly in underdeveloped regions. Green jobs have the potential to boost employment and align with environmental goals. These initiatives have been implemented with varying degrees of success in several countries, and the approach to justifying these programmes is to treat them as a poverty reduction initiative. [xix]Although cash transfer programmes are viewed to be more efficient than public employment programmes, this view ignores the enviro-social and employment benefits of such a programme.

Why is it necessary and relevant?

- Addresses the scarcity of skilled jobs and economic insecurity while bolstering household resilience.
- Supports Indonesia's commitment to sustainability, including phasing out fossil fuels by 2030 and pricing carbon.

Evidence:

- The Environmental sector of the EPWP, commenced by the South African Government, is an environmental public works programme that employed 23075 poor, previously unemployed persons in the year 2007-2008.[xx]
- On average, related studies found that one million USD invested by a firm that takes part in the energy transition can lead to the creation of between 2 and 45 direct jobs, depending on the technology, sector, and country.
- 95,000 and 10,000 direct jobs were generated in India and Kenya, respectively through investments in renewable energy infrastructure.[xxi]
- The National Rural Employment Generation Act in India has an intervention that engages the rural population in the production and installation of solar water heaters. This has resulted in reduced CO2 emissions and reduced energy costs for the poor and the government.[xxii]

Implementation:

- Investments in Renewable Energy Infrastructure: The Indonesian Government must allocate funds to solar, wind, and geothermal projects in 'lagging regions' with high unemployment rates and low energy access.
- Subsidize training and employment: The government can offer tax credits or wage subsidies to companies that commit to hiring workers from such backgrounds. This reduces the cost of workforce development for businesses.
- Partner with Educational Institutions: Partner with vocational schools for training in energy technologies. For instance, in Kenya, special solar PV training courses were provided by universities to increase access to energy in rural areas.[xxiii]

Expected Outcomes:

- Increase employment opportunities by generating jobs in construction, maintenance, and installation, directly targeting poverty reduction.
- By mitigating carbon emissions, this project will have environmental and social benefits that ensure Indonesia is adhering to its climate goals.
- Unique opportunity for the government to align goals of poverty reduction with environmental conservation and rehabilitation.

2) Establishing a shock-responsive social protection fund

Social protection funds are critical for vulnerable populations whose livelihoods, food security, and shelter can be wiped out overnight due to natural disasters, pandemics, and other emergencies. A dedicated emergency fund can protect vulnerable populations from falling deeper into poverty during crises.

Why is it necessary and relevant?

A key lesson for the Indonesian government after the COVID-19 pandemic was to scale the social assistance systems by:

- Enhancing the accuracy of such targeted programs.[xxiv]
- Expanding social protection to cover households affected by disasters.[xxv]
- Ensuring adaptiveness in the social protection programs to ensure smooth disbursement of funds to households.

Evidence:

- Studies from the World Bank have depicted that shock-responsive social protection funds can help mitigate the long-term effects of crises. For example, In Peru, the World Bank supported the government in establishing conditional cash transfers, which aided in cutting nutritional stunting by half.[xxvi]

- The COVID-19 pandemic highlighted gaps in Indonesia's ability to support its vulnerable populations. According to a UNICEF study, 45% of households with children were forced to eat smaller portions or skip meals.[xxvii]

Implementation:

- Fund design and allocation: Setting aside a portion of the national budget and partnering with international organizations such as UNICEF and development banks such as the Asian Development Bank and World Bank to establish the fund. The funds should be pre-programmed with eligibility criteria such as income level, family size and dependents, vulnerability to shocks, etc.
- Digital Payment Systems: Utilizing Indonesia's growing digital infrastructure to create efficient systems that disburse funds promptly, thereby assisting households during emergencies.

Expected Outcomes:

- Prevent vulnerable households from losing access to necessities during shocks.
- Build resilience against future economic and environmental crises.

Conclusion:

To address the pressing challenge of poverty reduction amid climate change and rising global uncertainties, Indonesia must strengthen its social protection systems. An inclusive future for Indonesia involves planning for a low-emission economy, and therefore, creating green jobs can significantly improve the resilience of vulnerable populations and pave the way for a sustainable economy. A shock-responsive social protection fund is highly relevant to Indonesia's disaster-prone regions and empowers communities to be economically resilient and adaptable to such challenges. By targeting impoverished communities and regions with specialized job training and financial assistance, these policies will not only reduce poverty but also help bridge long-term inequalities. By aligning its policies with these proven approaches, Indonesia can ensure greater economic participation and opportunities for its citizens.

NOTES

[i] Teichmann, Judith A. *The Politics of Inclusive Development: Policy, State Capacity, and Coalition Building*. Palgrave Macmillan, 2016. 2-4

[ii] ibid, 22

[iii] ibid, 19-22

[iv] ibid, 2-4

[v] ibid, 163-167

[vi] ibid, 161

[vii] Ibid, 171-172

[viii] Ibid, 161

[ix] "Indonesia Poverty Assessment: Pathways towards Economic Security." *World Bank*, World Bank Group, 7 June 2023, ix www.worldbank.org/en/country/indonesia/publication/indonesia-poverty-assessment.

[x] Ibid, 7

[xi] ibid, 7-9

[xii] Legge, John David, and Thomas R Leinbach . "Economy of Indonesia." *Encyclopædia Britannica*, Encyclopædia Britannica, inc., 4 Dec. 2024, www.britannica.com/place/Indonesia/Economy.

[xiii] Nugroho, Anda, et al. "Poverty Eradication Programs in Indonesia: Progress, Challenges and Reforms." *Journal of Policy Modeling*, North-Holland, 30 June 2021, www.sciencedirect.com/science/article/pii/S0161893821000661.

[xiv] ibid, 1215

[xv] Indonesia Poverty Assessment: Pathways towards Economic Security." *World Bank*, World Bank Group, 7 June 2023,14

[xvi] ibid, 11

[xvii] Ibid,37

[xviii] Ibid, 58

[xix] Lieuv-Kie-Song, Maikel R. "Green Jobs for the Poor: A Public Employment Approach." *UNDP*, 2009, www.undp.org/publications/green-jobs-poor-public-employment-approach.

[xx] ibid, 10

[xxi] Ibid, 11

[xxii] Ibid, 13

[xxiv] Bilo, Charlotte, and Liya, Abraham. "Shock-Responsive Social Protection." *UNICEF*, 1 May 2023, www.unicef.org/india/media/9341/file/Shock Responsive%20Social%20Protection.pdf.

[xxv] Ibid, 27

[xxvi] Tvinnereim, Anna Beathe, and Mamta Murthi. "Unlocking the Power of Adaptive Social Protection to End Hunger and Malnutrition." *World Bank Blogs*, Mar. 2024, blogs.worldbank.org/en/investinpeople/unlocking-the-power-of-adaptive-social-protection-to-end-hunger-.

[xxvii] Bilo, Charlotte, and Liya Abraham. "Shock-Responsive Social Protection." *UNICEF*, 1 May 2023, www.unicef.org/india/media/9341/file/Shock-Responsive%20Social%20Protection.pdf.